5 Questions Your Financial Reports MUST Answer.

If your reports only tell you what was spent last month, your business is missing the big picture.

INSTITUTIONAL PEDIGREE

Senior FP&A leadership from organizations including State Street, Fidelity, and JPMorgan Chase.

Swipe through to audit your monthly reporting ->

What is our zero-revenue cash runway?

Not theoretical or projected runway.

Take your actual cash in the bank, divide by non-negotiable monthly operational commitments, and assume customer receivables freeze for 45 days.

If you don't know the exact date your cash hits zero under a downturn, you cannot price risk or make hiring bets safely.

EXECUTIVE RECOMMENDATION

KEY ACTION: Maintain a rolling 13-week cash forecast updated every Monday.

Identify liquidity troughs 6–8 weeks in advance before they impact payroll or growth commitments.

Which client or service has our lowest margin?

High top-line sales frequently disguise toxic contracts.

When you factor in direct delivery labor, project overruns, and administrative management time:

Does your largest client actually generate the profit you think it does? Or is a smaller client generating 3x the net contribution margin?

EXECUTIVE RECOMMENDATION

KEY ACTION: Calculate true contribution margin by service tier monthly.

Renegotiate or phase out contracts that consume 40% of delivery time for only 10% of profit.

Where did we miss our forecast, and WHY?

A variance against budget is never just a math discrepancy—it is operational diagnostic intelligence.

Did your forecast miss because of:

- Price variance (unplanned discounts, vendor price hikes)?
- Volume variance (lower customer demand than projected)?
- Timing lag (deferred billing or postponed milestones)?

EXECUTIVE RECOMMENDATION

KEY ACTION: Demand Budget vs. Actual (BvA) root cause analysis before month-end.

Use variance diagnostics to adjust pricing and operational spending before cash leaks compound.

What happens if payment cycles slip by 15 days?

Most growing businesses don't fail from lack of sales—they fail from working capital friction.

When Days Sales Outstanding (DSO) stretches from 45 days to 60 days, cash liquidity vanishes while payroll remains fixed.

Stress-testing invoice collection velocity prevents sudden liquidity panics.

EXECUTIVE RECOMMENDATION

KEY ACTION: Track receivables aging curves and customer concentration weekly.

Establish proactive credit terms and follow-ups before client payment delays freeze your liquidity.

Finance leadership that scales with your business.

You don't always need a $350k full-time CFO on your payroll.

You need experienced financial leadership, dependable reporting architecture, and forward visibility built around the decisions you have to make today.

- Fractional CFO & FP&A Leadership
- Dedicated Finance Talent & Capacity
- Modern BI & Connected Reporting Systems

SENIOR ADVISORY

NEXT STEP: Build a reporting cadence that answers these questions every month.

Follow Financial Reporting Services on LinkedIn or contact our team to discuss your reporting.